

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE BUYER, LLC

V.

COSCO SHIPPING LINES CO., LTD.

**COMPLAINANT'S RESPONSES TO RESPONDENT'S STATEMENT OF
UNDISPUTED MATERIAL FACTS**

Complainant TZ SSE Buyer, LLC ("Complainant"), pursuant to 46 CFR § 502.70(b), submits the following responses to Respondent COSCO Shipping Lines Co., Ltd. ("Respondent" or "COSCO") Statement of Undisputed Material Facts, which was filed in support of its Motion for Partial Summary Judgment.

1. On October 17, 2024, Complainant filed and served a Second Amended Verified Complaint ("Complaint") against Respondent, alleging violations of the Shipping Act. Complaint ¶11.

RESPONSE: Admitted.

2. The Complaint seeks reparations with respect to certain shipments transported by COSCO and allegedly destined to TZ SSE Buyer, LLC (f/k/a Impact Products, LLC and Safety Zone, LLC)("TZ SSE" or "Complainant").Complaint ¶¶4, 14, 36.

RESPONSE: Admitted that the Complaint seeks reparations for certain shipments transported by COSCO. Denied as to the remainder, as the phrase “destined to TZ SSE Buyer, LLC” is vague and ambiguous. Without clarification, Complainant cannot admit or deny this assertion.

3. The Complaint alleges, "COSCO assessed Supply Source with demurrage on 244 containers, detention charges on 15 containers, per diem charges or [sic] 73 containers, and yard storage charges on 312 containers. The total demurrage, detention, per diem, and yard storages charges total \$1,656,492.00." Complaint ¶14.

RESPONSE: Admitted that Paragraph 14 of the Complaint alleges that COSCO assessed Laufer with demurrage on 244 containers, detention charges on 15 containers, per diem charges on 73 containers, and yard storage charges on 312 containers, with total charges of \$1,656,492.00. Unable to admit or deny Respondent's restatement of part of this allegation, as it is unclear what is meant by the inclusion of "or [sic] 73 containers."

4. Complainant has prepared and produced to Respondent, "a table which includes information on each container number for the charges [allegedly] wrongfully assessed by COSCO, as referenced in the Complaint." Complainant's Response to Respondent's Interrogatory No. 6. A copy of this table is attached hereto as EXHIBIT 1 [highlighted for ease of reference]).

RESPONSE: Admitted that Complainant provided a table containing information on each container and the associated bill of lading numbers. Denied to the extent that Respondent characterizes the charges as merely "allegedly" wrongful, as Complainant maintains that these charges were in fact wrongfully assessed by COSCO.

5. The second line entry on the table refers to a shipment designated as Reference Number: LO1-149384.

RESPONSE: Admitted.

6. EXHIBIT 2 (Bates No. COSCO 0000566-COSCO 0000567)) is an email from Complainant's NVOCC (Laufer) to Complainant forwarding an Arrival Notice from COSCO for the shipment described in Paragraph 5 (Reference Number: L01-149384). This Arrival Notice demonstrates that the shipment (Reference Number: L01-149384) moved through a Canadian port, specifically, Prince Rupert, Canada. Information in this email shows:

- a. L01-149384
- b. COSCO Arrival Notice

- c. Bill of Lading Information
 - i. Bill of Lading Number: COSU6340048900
 - ii. Container Number: OOCU8178237
 - iii. Vessel Voyage: XIN YING KOU 217E
 - iv. Place of Receipt (POR): Xingang, Tianjin, China
 - v. Place of Loading (POL): Xingang
 - vi. Place of Discharge (POD): Prince Rupert
 - vii. Final Destination Hub (END): Chicago, Cook, Illinois, United States
 - viii. E/ATA at POD: 17 Sep 2022 (Sat), 1921
 - ix. Request Reference: 538SF1I-de586274-07bf-ee1-8182-37b794c5e88e

RESPONSE: Admitted that EXHIBIT 2 (Bates No. COSCO 0000566-COSCO 0000567) is an email, but denied to the extent that Respondent misidentifies its sender and recipient. The email was sent by the former complainants' NVOCC (Laufer) to the former complainants, not the current Complainant.

Admitted that the Arrival Notice shows the shipment (Reference Number: L01-149384) transited through Prince Rupert, Canada. However, denied to the extent that Respondent implies this determines the shipment's final contractual destination. The bill of lading governing this shipment required COSCO to transport the cargo to its final destination hub in Chicago, Illinois, United States. See Exhibit 2, which contains the relevant bill of lading information confirming COSCO's obligation to transport the cargo for pickup in Chicago, Illinois, United States (COSCO_0000567).¹

7. **EXHIBIT 3** shows that other shipments covered by the Complaint were also transported by sea from a foreign country to a port in Canada and did not involve any U.S. port.

¹ Complainant is in possession of certain Intermodal In-Transit Notices and Arrival Notices at Final Destination issued by COSCO, which relate to the bills of lading included in COSCO's exhibits. Complainant is prepared to present these documents to the Presiding Officer, should he find them relevant. If the Presiding Officer requests them, Complainant will first confer with COSCO regarding whether it intends to seek confidential treatment of the documents and, if so, the basis for such a motion.

RESPONSE: Admitted that EXHIBIT 3 shows certain shipments covered by the Complaint were transported by sea from a foreign country to a port in Canada. Denied, however, to the extent that Respondent suggests this precludes FMC jurisdiction or establishes that the shipments did not have a U.S. destination. The relevant bills of lading confirm that these shipments were contractually required to continue to the United States. See Exhibit 3 (COSCO_0002261 and COSCO_0000263), which contains the relevant bill of lading information confirming COSCO's obligation to transport the cargo for pickup in Chicago, Illinois, United States.

Dated: March 26, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on March 26, 2025, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502.

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